CARPENTER®
TECHNOLOGY

EQUITY RESEARCH | NYSE: CRS

Carpenter Technology Corporation

Rating	Price, 12 Feb 2026	12-month target	Implied downside
HOLD	$367.98	$363.69	(1.17%)

Team BULLETS

All figures in USD unless otherwise noted

INVESTMENT SUMMARY

Strong tailwinds, already priced into the multiple

We issue a HOLD with a 12-month price target of $363.69, implying ~1.2% downside from $367.98.

RECOMMENDATION

HOLD

12-month price target
$363.69

Price, 12 Feb 2026
$367.98

Implied downside
(1.2%)

Blended target: 80% DCF ($357.10) and 20% trading comps ($390.02)

01 **A&D demand meets constrained supply**

A&D was 61% of FY25 sales; long qualification cycles and few qualified melters support pricing power.

61%
A&D share of FY25 sales

02 **Mix and price drive margin expansion**

Operating margin went from -1.4% in FY22 to 18.1% in FY25 on mix and price; we model 27.0% by FY30E.

18.1%
FY25 operating margin

03 **The turnaround is already in the price**

P/E is ~40% above its historical average, and EV/EBITDA of 25.7x already matches peers at 26.3x.

~40%
P/E premium to its own history

Source: Company reports, FactSet, team analysis

COMPANY OVERVIEW

A specialty alloys leader levered to aerospace

Since 1889: critical nickel, titanium and stainless alloys for aero engines, gas turbines and medical implants.

$2.88B
FY25 revenue

18.1%
FY25 operating margin

$376M
FY25 net income

$18.7B
Market cap (EV $19.1B)

Two reporting segments

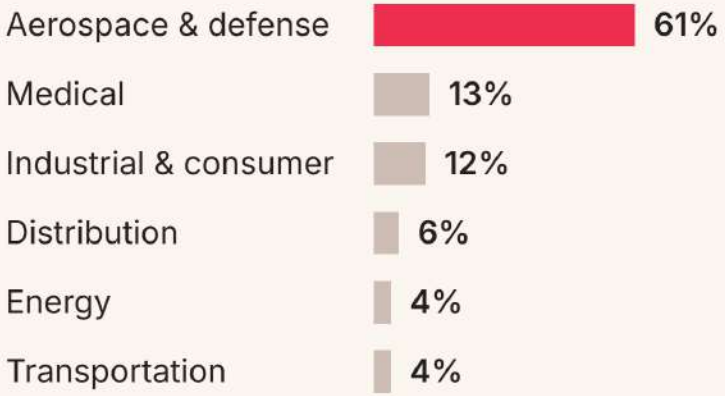
SAO, 86% of FY25 sales: integrated specialty alloys melt platform

PEP, 14%: niche businesses, including Carpenter Additive

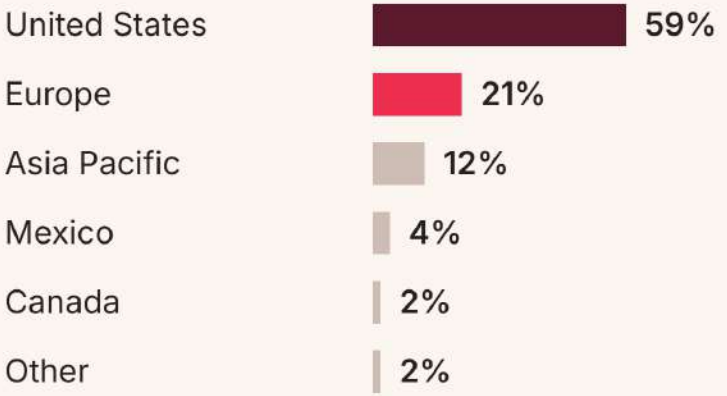
FY25 sales by segment



FY25 sales by end market



FY25 sales by region



Source: Company reports (FY25 10-K; end-market mix on sales ex-surcharge), FactSet, team analysis

INDUSTRY

Aerospace demand is outrunning qualified supply

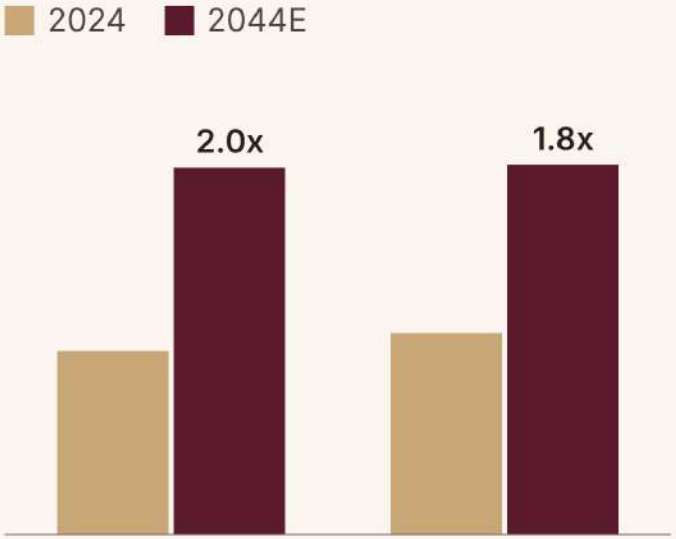
Fleet growth and rising defense budgets lift demand, while multi-year qualification keeps new supply scarce: a backdrop for pricing power.

A&D market size ($ trillion)



~8.5% CAGR, 2025 to 2032E

Commercial fleet in service (aircraft)



Both OEM outlooks see the fleet nearly doubling by 2044

Why new supply stays scarce

1. Multi-year qualification with engine OEMs and MedTech customers
2. Very high capital needs and complex melt and forge know-how
3. OEMs dual-source mainly between Carpenter and ATI on melt products
4. Few substitutes for superalloys in hot-section engine parts

Result: pricing power and long-term agreements for qualified producers

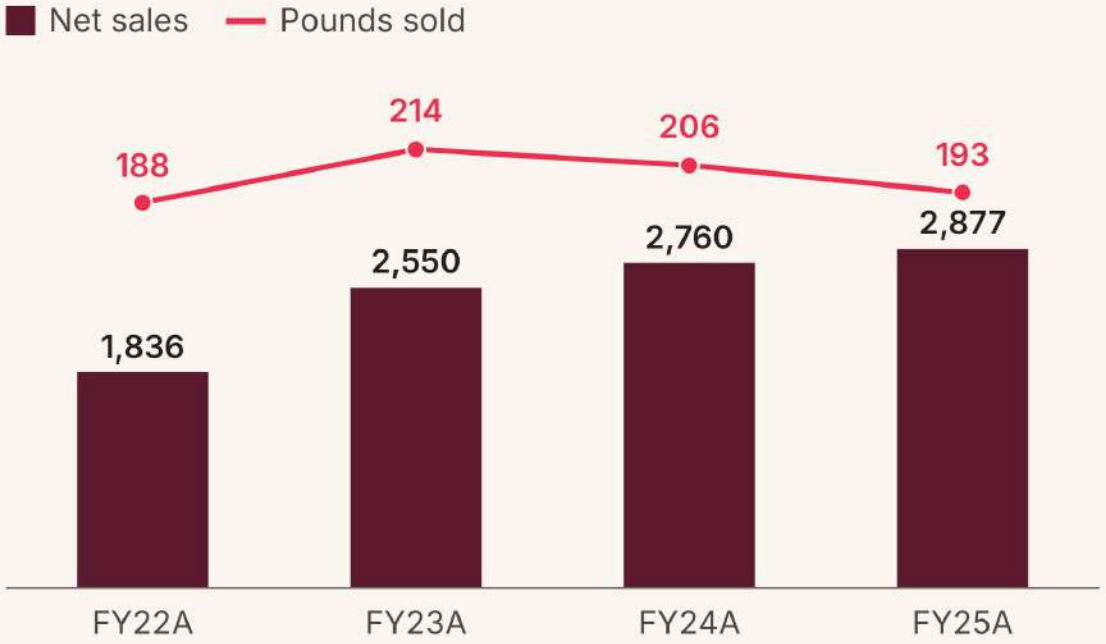
Source: Global Market Insights, Airbus GMF 2025, Boeing CMO 2025, team analysis

FINANCIAL ANALYSIS

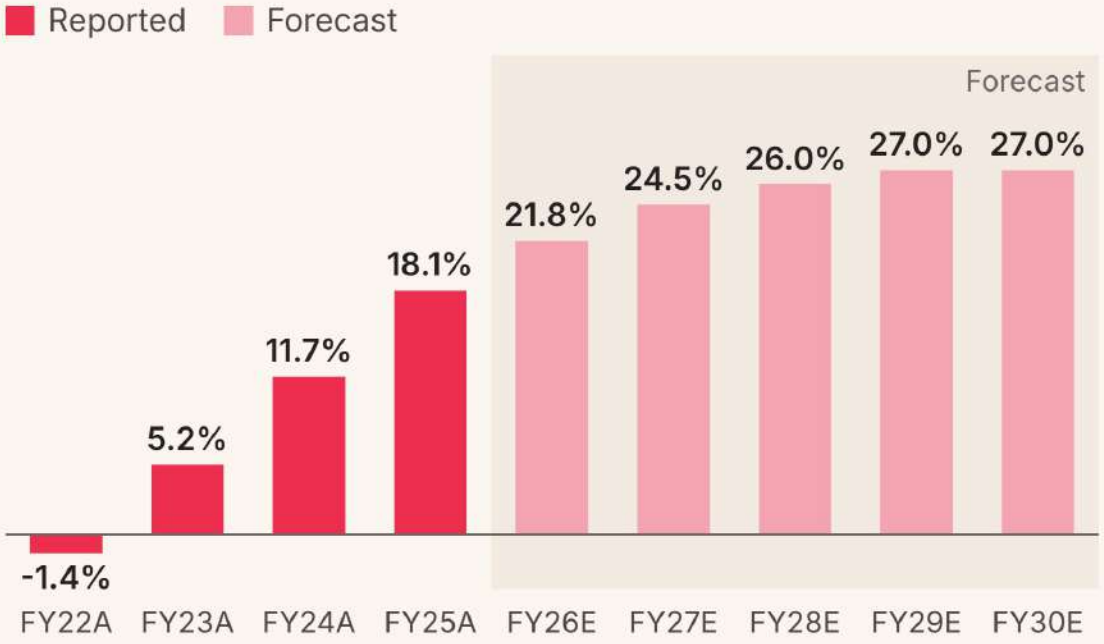
Mix and price, not volume, are driving margins

Since FY23, net sales rose 12.8% on ~10% fewer pounds; the A&D share of sales (ex-surcharge) rose from 42.8% in FY22 to 61.4% in FY25.

Net sales ($M) vs pounds sold (M lbs)



Operating margin (%)



Gross margin: 26.7% in FY25A, 35.0% by FY30E; EBITDA margin ex-surcharges reaches 39.9%

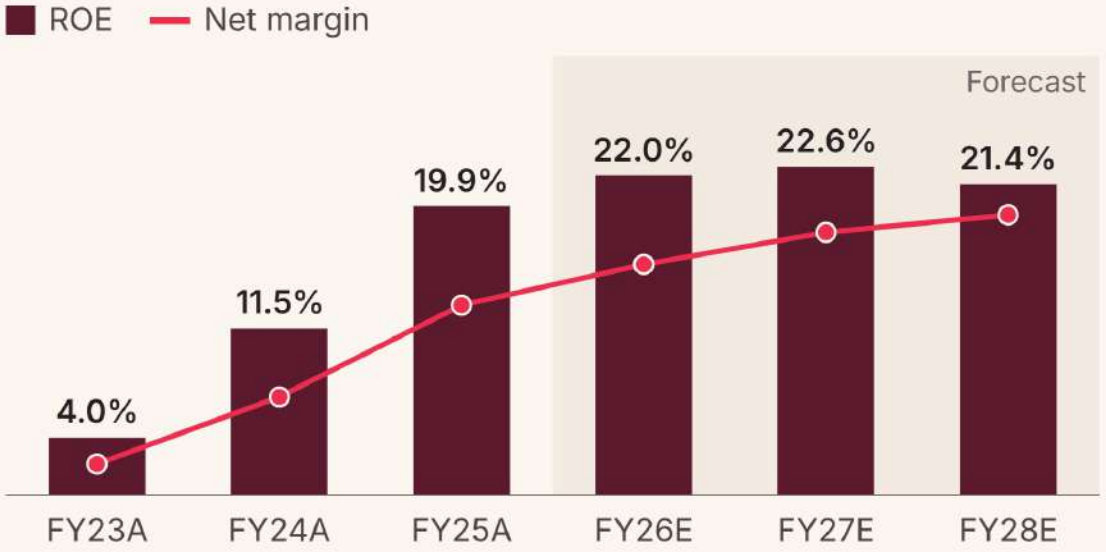
Source: Company reports (10-K, FY22-FY25 results releases), team analysis

FINANCIAL ANALYSIS

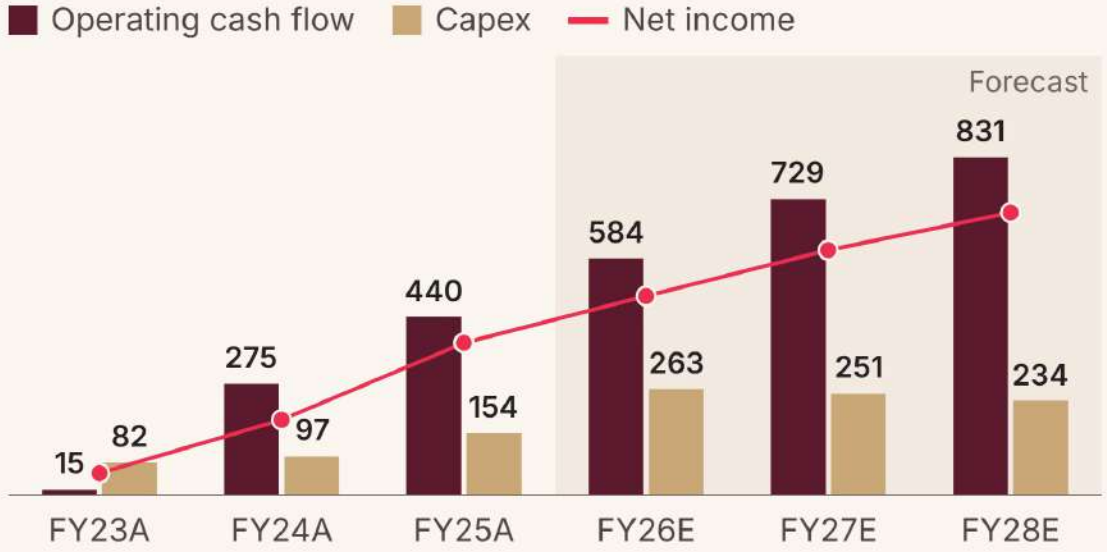
Higher margins fund returns, cash and reinvestment

Returns are margin-led as leverage falls, and operating cash flow comfortably funds the FY26E capex peak; CRS turns net cash by FY27E.

Return on equity and net margin (%)



Operating cash flow, capex and net income ($M)



1.5x Equity multiplier by FY28E, down from 2.2x in FY23A: ROE rises on margin, not leverage

$263M Capex peak in FY26E (8.5% of revenue) for the brownfield expansion due in FY28

0.6x Net debt to EBITDA in FY25A; cash exceeds debt from FY27E

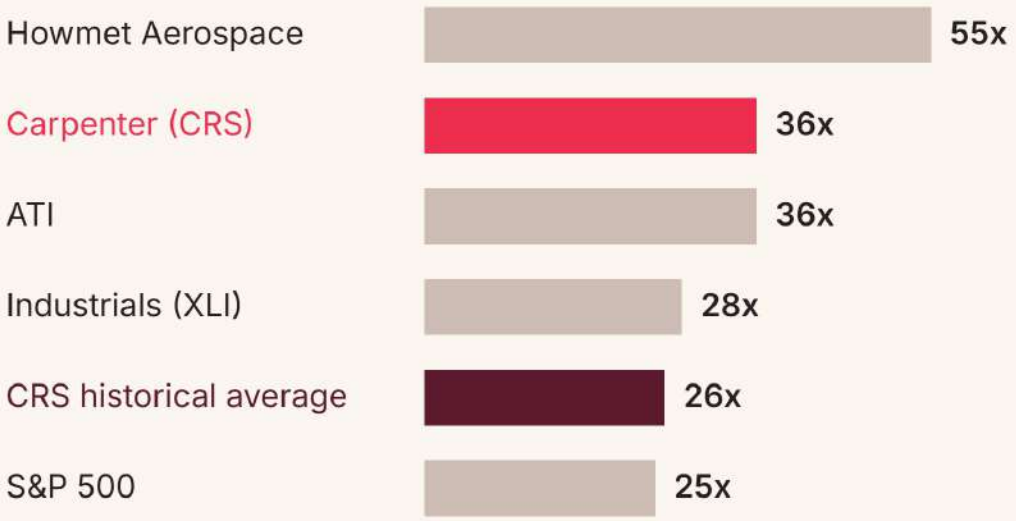
Source: Company reports, FactSet, team analysis

VALUATION

In line with peers, but ~40% above its own history

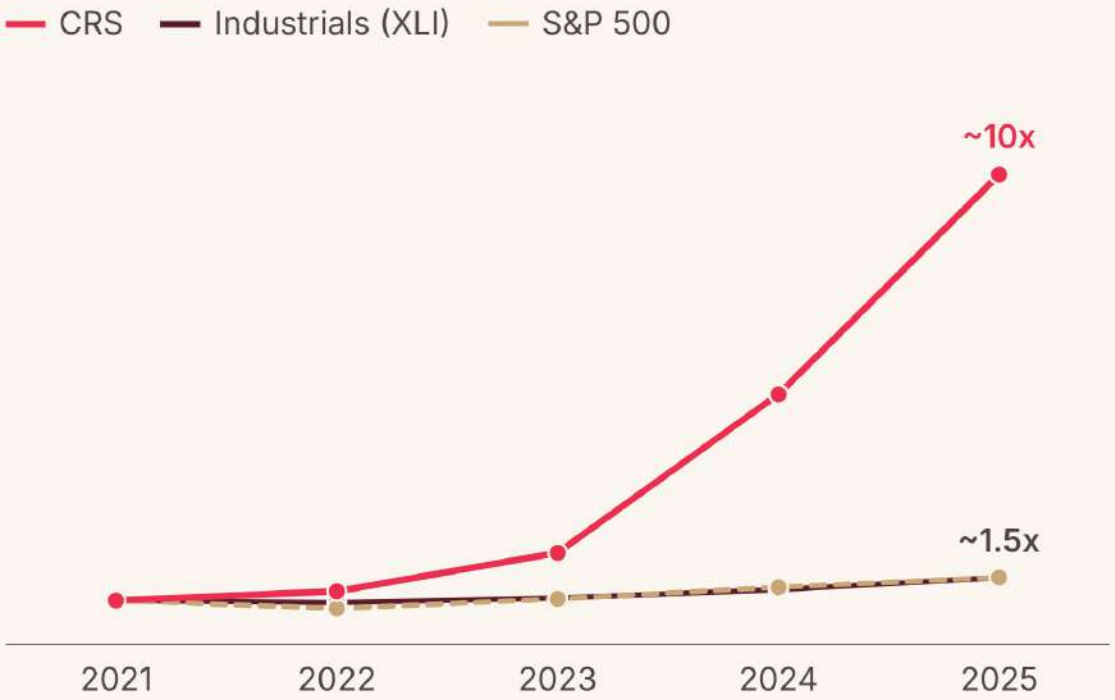
Shares rose ~10x in four years; CRS trades at 25.7x EV/EBITDA, close to the 26.3x peer weighted average, while its P/E sits ~40% above its historical average.

P/E multiple (x)



~40% premium: CRS at 36x vs a 26x historical average

Share price, rebased to 100 (2021)

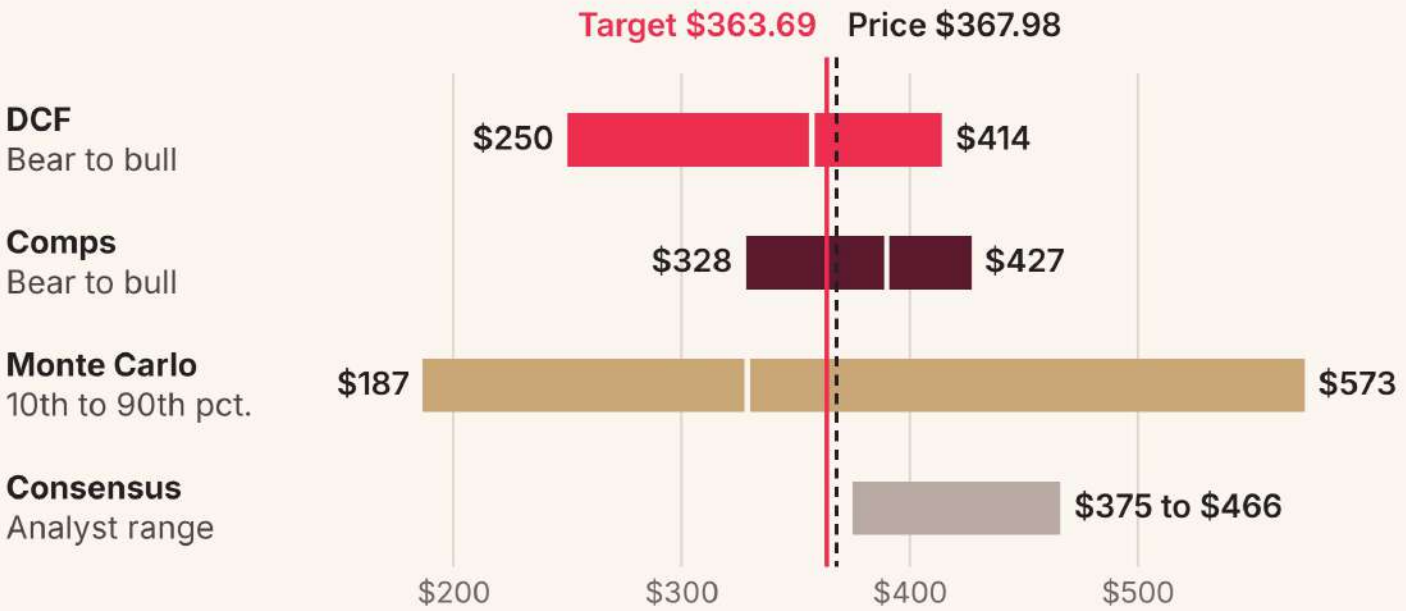


Source: FactSet, company reports, team analysis

VALUATION

Blended target of $363.69 implies ~1% downside

Our DCF points to ~3% downside and comps to ~6% upside; both sit inside the wide Monte Carlo and consensus ranges.



Bars show each method's range; the light tick marks the base case (median for Monte Carlo).

Blended 12-month target

DCF (80% weight)	**$357.10**
Trading comps (20% weight)	**$390.02**
Price target	**$363.69**
Price, 12 Feb 2026	**$367.98**
Implied downside	**(1.2%)**

Key assumptions

WACC 9.45%; exit multiple 18.5x FY30E EBITDA

Revenue CAGR of 7.4%, FY25A to FY30E

Comps: 26.3x EV/EBITDA (75%) and 49.2x P/E (25%)

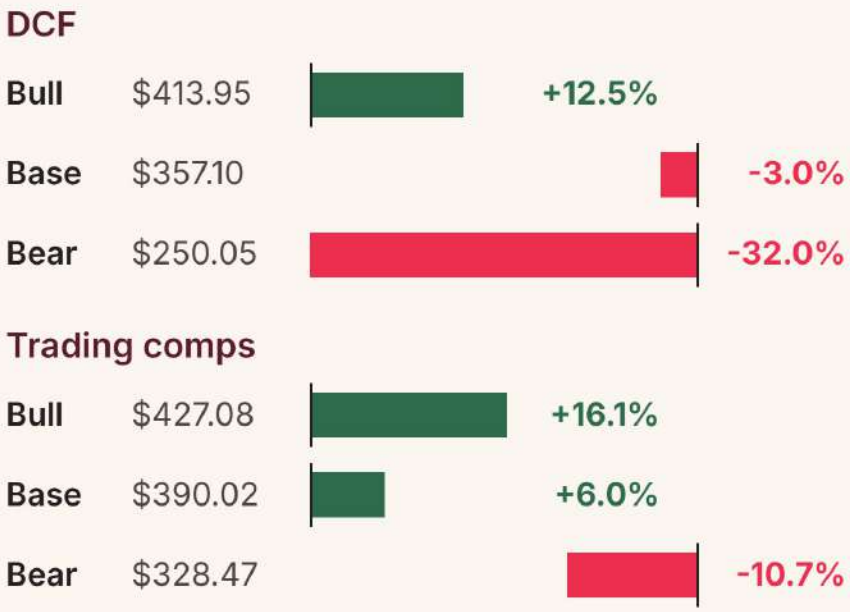
Source: FactSet, team analysis

VALUATION

Bear-case downside outweighs bull-case upside

We flex A&D demand, OEM production and price realization: the DCF bear case implies 32.0% downside against 12.5% upside in the bull case.

Upside / (downside) to the $367.98 price



Scenario assumptions and outputs

Scenario driver	Bull	Base	Bear
DCF target price	$413.95	$357.10	$250.05
Upside / (downside)	12.5%	-3.0%	-32.0%
Gross margin (FY30E)	37.0%	35.0%	27.5%
EBITDA margin ex-surcharges (FY30E)	41.1%	39.9%	30.5%
Adj. operating margin (FY30E)	35.3%	33.8%	24.2%
Net margin ex-surcharges (FY30E)	26.7%	25.4%	17.8%
Terminal EV/EBITDA multiple	19.5x	18.5x	17.5x
WACC	9.45%	9.45%	9.45%
Comps target price	$427.08	$390.02	$328.47
Upside / (downside)	16.1%	6.0%	-10.7%
EV/EBITDA multiple	28.3x	26.3x	21.3x
P/E multiple	56.2x	49.2x	46.2x

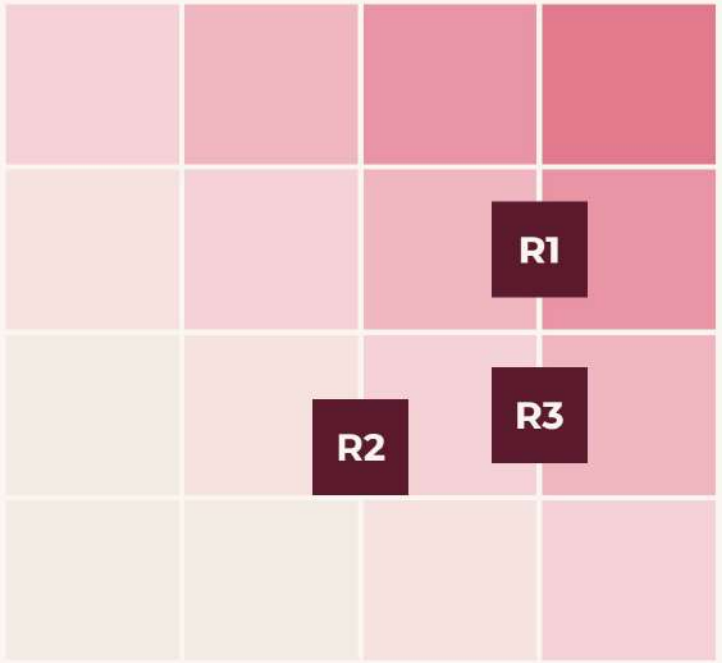
Source: Company reports, FactSet, team analysis

INVESTMENT RISKS

Concentration and execution risks limit the upside

Risk matrix

Likelihood (higher toward top)



Impact (higher toward right)

R1 Heavy dependence on aerospace & defense

Exposure: 61% of FY25 sales; build-rate cuts or destocking hit volume and mix.

Mitigant: multiyear agreements and a large backlog; defense is less cyclical.

Bear case: DCF $250.05, 32.0% downside

R2 Brownfield expansion execution

Exposure: new capacity is due in FY28; capex peaks at $263M in FY26E.

Mitigant: builds on the existing platform; funded by $584M FY26E operating cash flow.

Delays or overruns would defer growth and raise costs

R3 Extended valuation pricing in perfection

Exposure: P/E ~40% above history and 43.8% three-year volatility.

Mitigant: base-case net income grows from $376M (FY25A) to $696M (FY28E).

Monte Carlo median $328.83, 10.6% downside

Source: Company reports, team analysis

ESG

Solid ESG profile, but little room for further alpha

A low-carbon power mix, strong safety and solid governance put CRS in line with peers; intensity-based, unvalidated targets cap the score.

E Environmental — Satisfactory

90%

of power from carbon-neutral / nuclear sources

63%

recycled scrap metal feedstock

Targets are intensity-based, without SBTi validation

S Social — Satisfactory

1.4

TRIR, vs 2.9 industry average

8.2 yrs

average employee tenure, vs 4.1 industry

13% female workforce lags peers (Howmet ~29%)

G Governance — Excellent

91%

board independence

81%

of CEO pay at risk (STI and LTI)

Established proxy rights; executive pay linked to safety

Overall rating vs peers: Carpenter: Satisfactory | Howmet: Satisfactory | ATI: Excellent — ATI leads on validated targets

Source: CRS 2025 Sustainability Report, company reports, team analysis

RECOMMENDATION

HOLD: a quality franchise at a full price

12-month price target of $363.69 against a $367.98 share price: ~1.2% implied downside.

Why HOLD

01 Structural A&D demand and scarce qualified capacity support pricing power.

02 Mix and pricing lifted operating margin from -1.4% (FY22) to 18.1% (FY25); returns and cash flow follow.

03 At ~40% above its historical P/E, the market already prices in this execution.

What would change our view

Upgrade

Bull-case margins (FY30E gross margin 37.0%, EBITDA margin 41.1%) lift the DCF to $413.95, 12.5% upside.

Downgrade

Weaker A&D demand, OEM production or pricing (gross margin 27.5%) cuts the DCF to $250.05, 32.0% downside.

Watch

Brownfield expansion on track for FY28, with capex near the $263M FY26E peak.

Source: Team analysis

APPENDIX

Supporting analysis and model detail

Company and industry

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COMPANY OVERVIEW

From specialty steel to critical aerospace alloys

1889
Carpenter Steel is founded in Reading, PA, focused on specialty rather than commodity steel.

Early 1900s
Builds its name in alloy and tool steels for industry and the U.S. Navy, including armour plate.

1950s-1960s
Moves into stainless and high-temperature alloys for jet engines and power generation.

1968
Renamed Carpenter Technology Corporation to reflect its focus on engineered materials.

1980s-2000s
Broadens into premium stainless, nickel and titanium alloys and becomes a global supplier.

2012
Acquires Latrobe Specialty Metals (~$410M), adding aerospace alloys and vacuum-melt capacity.

2016-2019
Builds powder and additive capability (Puris, CalRAM, LPW) under the Carpenter Additive brand.

2020s
Focuses on high-value aerospace, defense, medical and energy growth markets.

Selected acquisitions	Date	Location	Sector	Price
LPW Technology	Oct 2018	United Kingdom	High tech (3D printing)	$81M
CalRAM	Feb 2018	United States	High tech (3D printing)	n/a
Puris	Feb 2017	United States	Aerospace tech	$35M
Latrobe Specialty Metals	2012	United States	Specialty alloys	~$410M
Amega West Services	Jan 2011	United States	Manufacturing services	n/a
Rathbone Precision Metals	Jun 1997	United States	n/a	n/a

Source: Company website, Tracxn, team analysis

Shares re-rated as CRS beat and raised guidance

CRS share price, 2019 to Feb 2026, with key events



Insider activity (Nasdaq): 35 sale vs 12 purchase transactions over 12 months (about 244K shares sold vs 198K bought); 10 sales and no purchases in the last 3 months.

Source: FactSet, Nasdaq, team analysis

MANAGEMENT

Experienced leadership with metals and finance depth

Tony R. Thene
Chairman and CEO
CEO since 2015, Chairman since 2025; former Carpenter CFO after 23 years at Alcoa.

Brian J. Malloy
President and COO
COO since 2025, overseeing SAO and PEP; former Chief Commercial Officer; ex-Ametek and Alcoa / Arconic / Howmet.

Timothy Lain
SVP and CFO
CFO since 2020; 18 years at Carpenter, including Controller and Chief Accounting Officer; CPA.

James D. Dee
SVP, General Counsel and Secretary
General Counsel since 2020; almost 30 years of industrial legal experience.

Marshall Akins
VP and Chief Commercial Officer
Joined in 2016 to run Aerospace and Defense after a BCG consulting career; Harvard MBA.

Shakthimani Logasundaram
VP and Chief Digital Officer
Joined in 2021 from Honeywell after nearly 20 years in technology roles at GE.

Suniti Moudgil
VP and Chief Technology Officer
Joined in 2021 after 17+ years in technology and R&D leadership at DuPont; MIT PhD.

Rachelle H. Thompson
VP and Chief HR Officer
Joined in 2020 from McGuireWoods (IP and litigation); Stanford PhD and JD.

Source: Company website, team analysis

GOVERNANCE

Independent board with finance and operating depth

11
directors

10 of 11
independent (91%)

4
with CFO experience

Combined
Chair and CEO since 2025, with a lead independent director

Director	Role	Background
Tony R. Thene	Chairman and CEO	CEO since 2015, Chairman since 2025; former Carpenter CFO; 23 years at Alcoa
Stephen M. Ward Jr.	Lead independent director	Director since 2001; former President and CEO of Lenovo; 26 years at IBM
Dr. Viola L. Acoff	Director (2019)	Dean of Engineering, University of Mississippi; metallurgical engineer
Julie Beck	Director (2025)	SVP, CFO and Treasurer of MSA Safety; former CFO of Terex and NOVA Chemicals
Dr. A. John Hart	Director (2019)	Professor and Head of Mechanical Engineering, MIT
Steven E. Karol	Director (2012)	Founder and Managing Partner, Watermill Group; former Latrobe board member
Kathleen Ligocki	Director (2017)	Former multi-time CEO (Agility Fuel Solutions, Tower Automotive); Lear and PPG boards
Charles (Chuck) McLane Jr.	Director (2020)	Former EVP and CFO of Alcoa
Colleen Pritchett	Director (2024)	Former President, Aperture Solutions at Cornerstone; ex-Hexcel and DuPont
Ramin Younessi	Director (2021)	Former Group President, Caterpillar Construction Industries
Howard Yu	Director (2024)	Former EVP and CFO of Ball Corporation; former CFO of Envista

Source: Company website, team analysis

INDUSTRY STRUCTURE

High barriers to entry protect qualified producers

Customer power	Moderate-high	Concentrated OEM, MedTech and turbine buyers can dual-source (mostly Carpenter vs ATI); long-term agreements, qualification hurdles and tight capacity soften price pressure.
Supplier power	Moderate	Nickel, titanium sponge, scrap and energy costs are largely passed through via surcharges; few qualified titanium and ferroalloy suppliers; scarce skilled labor.
Threat of new entrants	Low	Very high capital needs, complex melt and forge know-how and multi-year OEM and MedTech qualification; new capacity comes from incumbents.
Threat of substitutes	Low	Composites, ceramics or cheaper stainless replace premium alloys only in cooler, non-rotating parts; hot-section engine designs are locked into superalloys.
Competitive rivalry	Moderate	A small group of qualified producers (ATI, Howmet downstream, some European and Asian mills); full order books and melt bottlenecks ease rivalry today.

Rating = strength of each force; lower is better for Carpenter.

Source: Team analysis

STRATEGIC POSITION

Strong franchise, concentrated exposure

Strengths

- Focused portfolio of high-value nickel, titanium and stainless alloys for engines, turbines and implants
- Long-standing customers on multiyear agreements: high switching costs and good visibility
- Outgrowing and out-earning peers since the pandemic, backed by a large, higher-margin backlog

Weaknesses

- Earnings sensitive to aerospace and turbine build rates and inventory corrections
- Capital-intensive, with long lead times to add capacity
- Working capital and leverage can rise during ramps, pressuring free cash flow

Opportunities

- Higher narrow-body and wide-body build rates and strong engine overhaul activity
- Growth in defense, industrial gas turbines and energy infrastructure
- Medical and specialty applications where qualification favors incumbents

Threats

- Macro shocks to air traffic, industrial output or energy investment
- New qualified capacity or faster OEM dual sourcing that pressures pricing
- Raw material or energy spikes, or execution and safety issues during expansion

Source: Team analysis

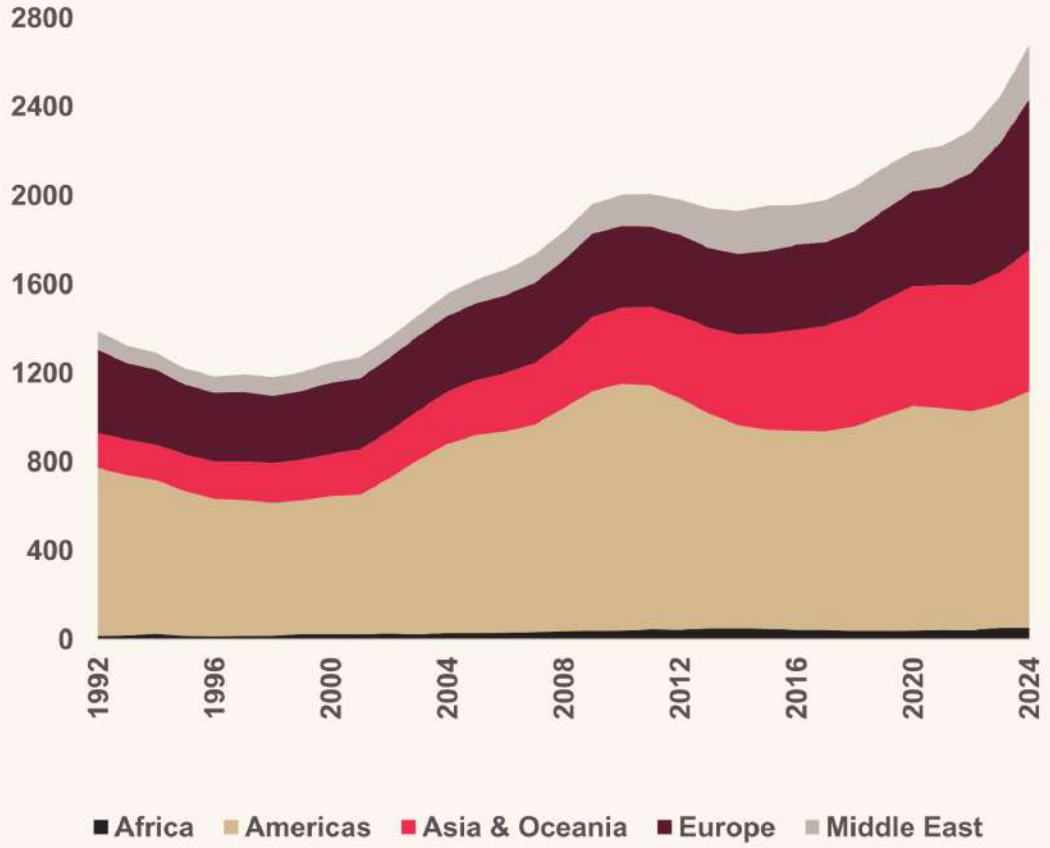
Macro and policy trends mostly favor CRS

Factor	Key drivers	Effect on Carpenter
Political	Defense budgets, tariffs and export controls, onshoring of critical supply chains	Supportive: tariffs curb import competition, defense demand runs on multi-year programs, and policy favors qualified domestic producers
Economic	Global GDP and air travel, interest rates, the U.S. dollar, nickel and titanium prices	Higher rates can delay aircraft orders and capex; a strong dollar hurts exports; surcharges and hedging pass through most input costs, with timing gaps
Social	Ageing populations, safety expectations, stakeholder focus on workforce and community	Supports demand for medical implant alloys and for proven, high-integrity suppliers
Technological	Hotter, more efficient engines and turbines; additive manufacturing and powder metallurgy	Raises alloy performance needs and the value of R&D; requires continual qualification on new platforms
Environmental	Emissions policy, responsible sourcing, physical climate risk	Drives demand for efficient engines but adds scrutiny and cost to energy-intensive melting
Legal	Product safety, traceability, export controls, environmental and disclosure rules	Raises compliance costs; carbon pricing could lift operating costs and capex

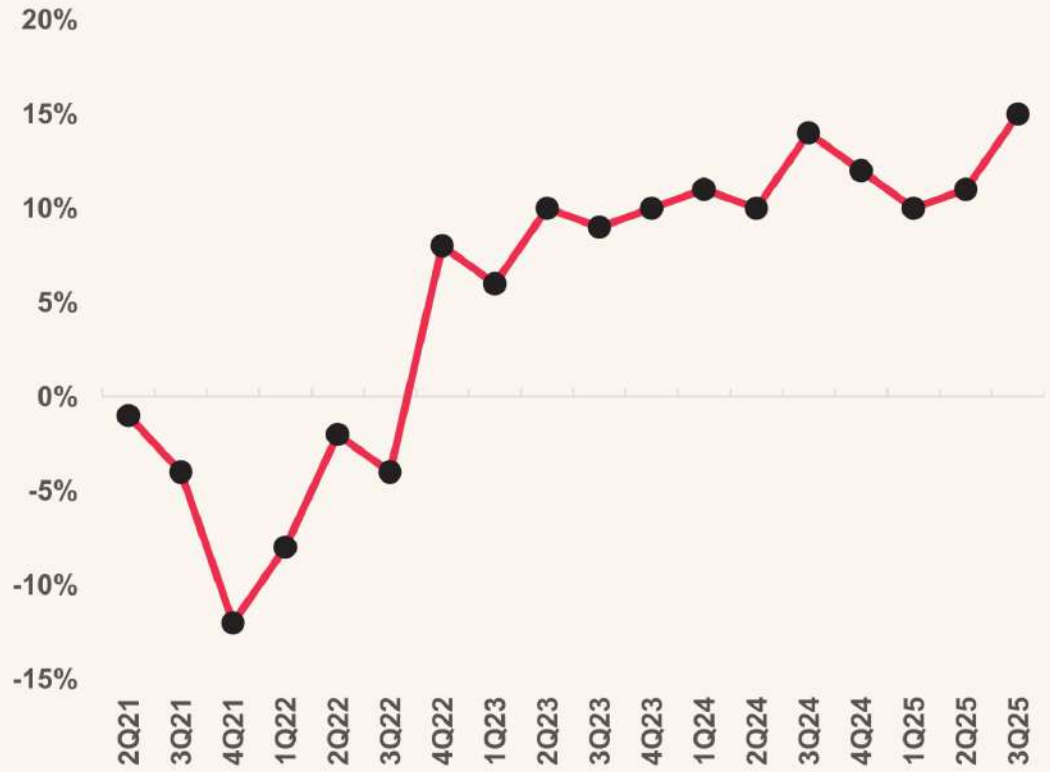
Source: Team analysis

Defense spending is at record highs and still growing

Global defense spending ($ billion), 1992 to 2024



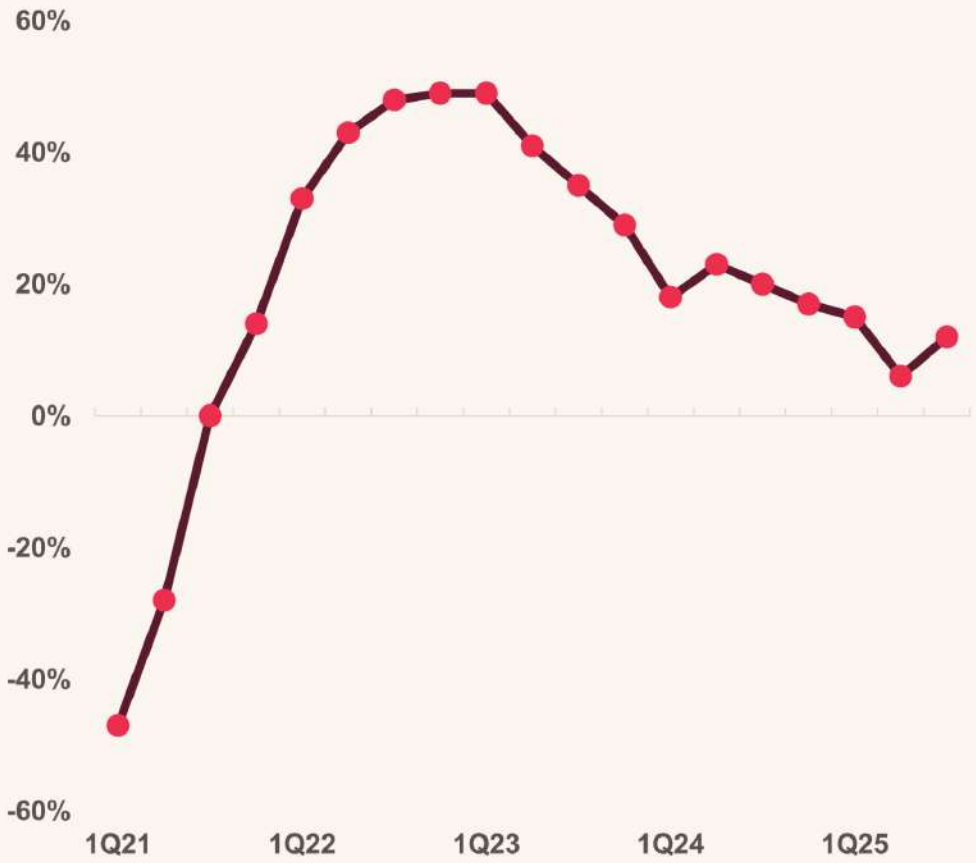
Defense end-market growth (%)



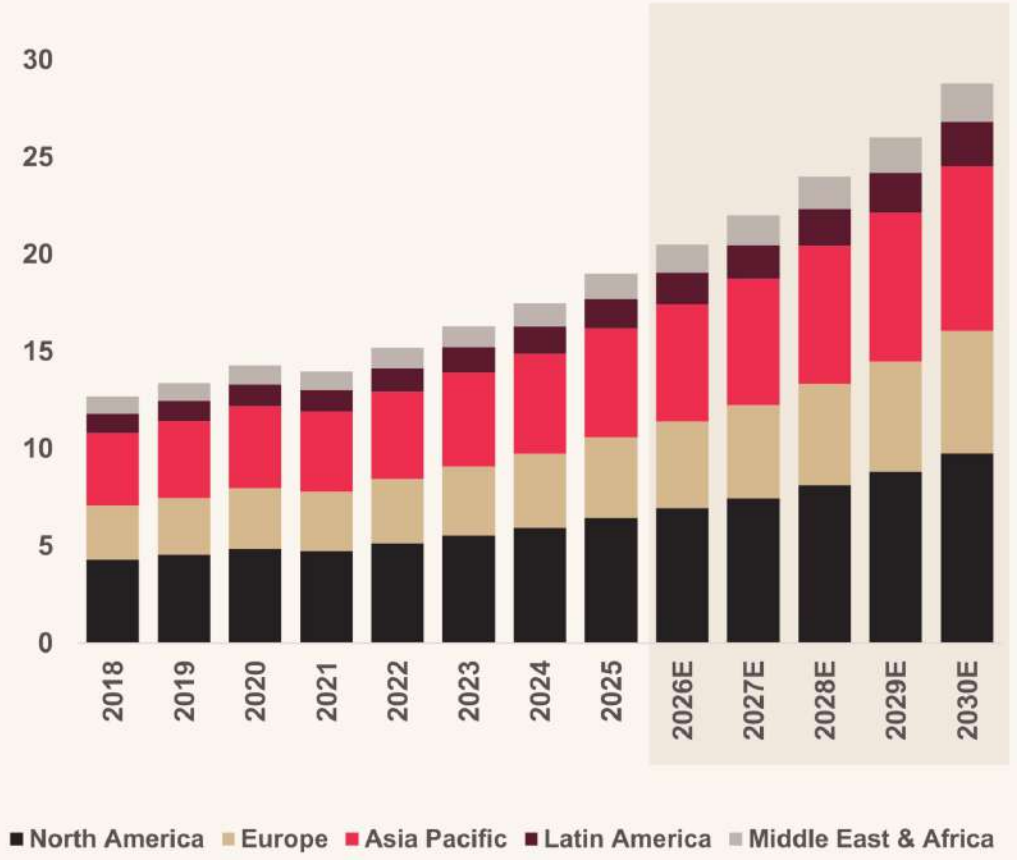
Source: SIPRI fact sheet (Trends in World Military Expenditure), Deutsche Bank Research, team analysis

A&D growth has normalized; medical keeps compounding

Specialty metals A&D growth (%)



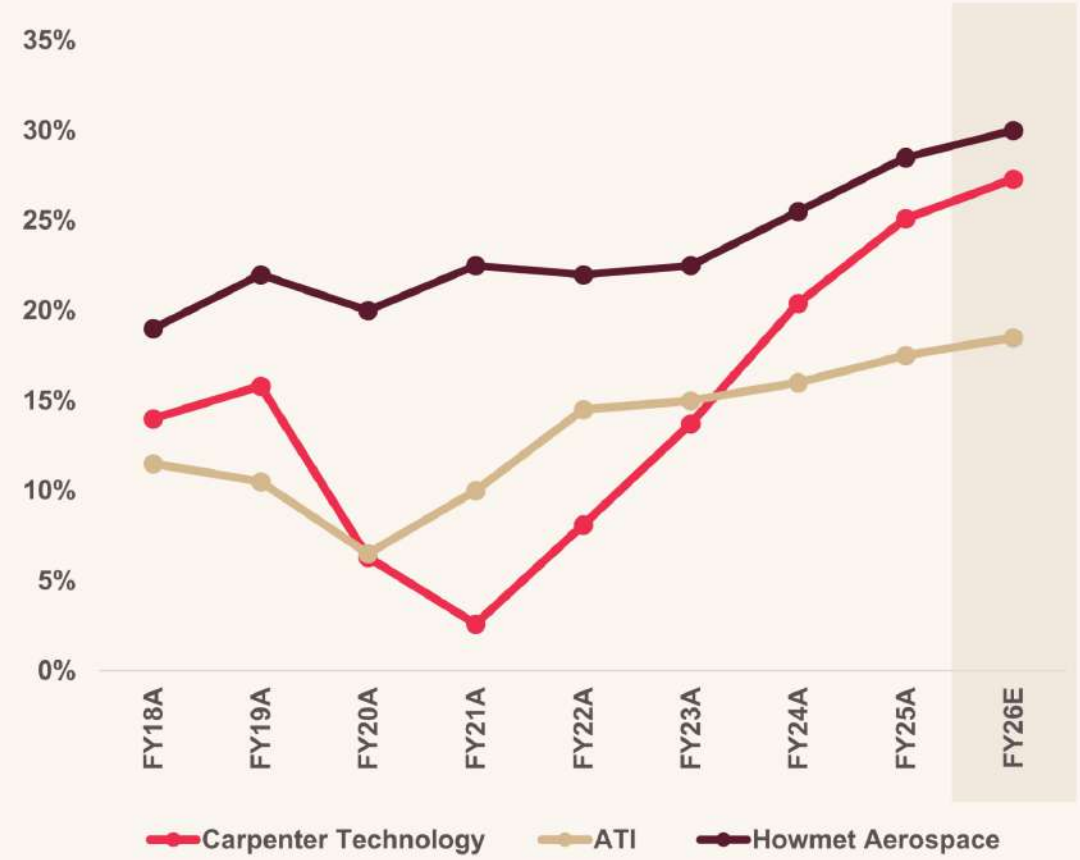
Medical alloys market by region ($ billion)



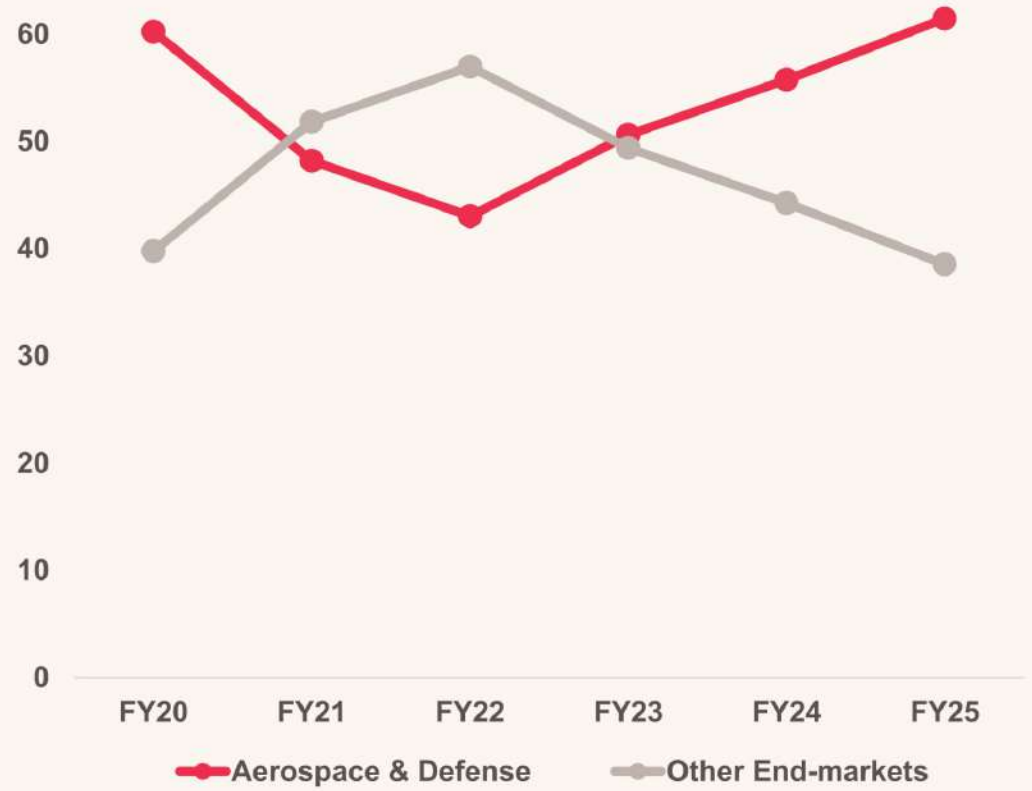
Source: Deutsche Bank Research, Grand View Research (Global Medical Alloys Market 2025-2030), team analysis

CRS has closed most of its margin gap with Howmet

Margin vs peers, FY18A to FY26E



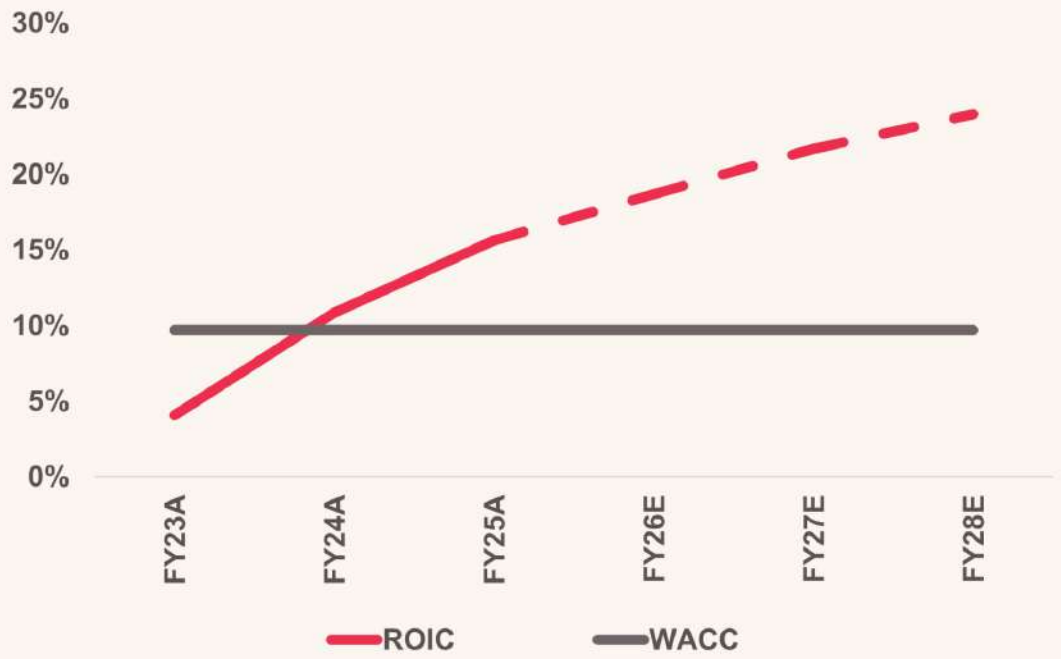
End-market mix: A&D vs other (% of sales)



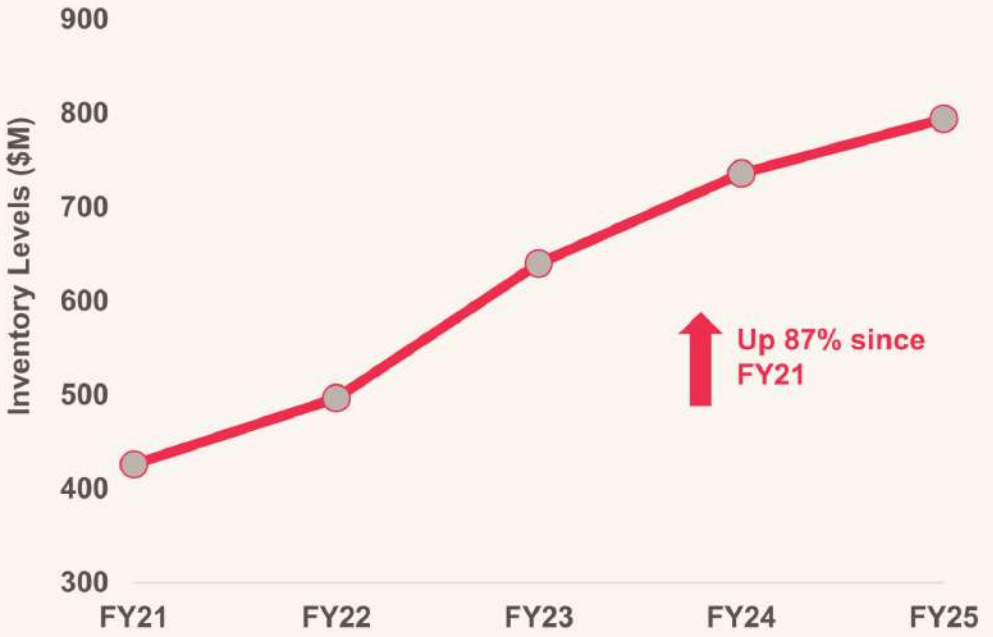
Source: J.P. Morgan Equity Research, Deutsche Bank Research, team analysis

ROIC above WACC since FY24; inventory up 87% since FY21

ROIC vs WACC (9.45%)



Inventory ($M)



Inventory days rose from 106 (FY23A) to 137 (FY25A); we model them easing to 130 by FY29E.

Source: Company reports (10-K), team analysis

FINANCIAL MODEL

Revenue reaches $4.1B and net income $832M by FY30E

$M	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Specialty Alloys Operations (SAO)	2,214	2,444	2,564	2,782	3,032	3,290	3,553	3,801
Performance Engineered Products (PEP)	434	411	405	401	397	393	389	386
Intersegment	(97)	(95)	(92)	(90)	(88)	(86)	(86)	(85)
Total revenue	2,550	2,760	2,877	3,093	3,341	3,596	3,857	4,102
Net revenue ex-surcharges	1,848	2,168	2,346	2,475	2,673	2,877	3,085	3,282
Surcharges (calculated)	702	592	531	619	668	719	771	820
Cost of goods sold	(2,213)	(2,175)	(2,109)	(2,165)	(2,255)	(2,374)	(2,507)	(2,666)
Gross profit	337	584	769	928	1,086	1,223	1,350	1,436
Gross margin	13.2%	21.2%	26.7%	30.0%	32.5%	34.0%	35.0%	35.0%
Restructuring and impairments	0	(31)	(4)	0	0	0	0	0
SG&A	(204)	(230)	(243)	(252)	(267)	(288)	(309)	(328)
Operating income	133	323	522	676	819	935	1,041	1,108
Adj. operating income	133	354	525	676	819	935	1,041	1,108
Operating margin	5.2%	11.7%	18.1%	21.8%	24.5%	26.0%	27.0%	27.0%
Adj. op. margin (ex-surcharges, special items)	7.2%	16.3%	22.4%	27.3%	30.6%	32.5%	33.8%	33.8%
Other expenses	(7)	(61)	(6)	(6)	(6)	(6)	(6)	(6)
Interest expense	(54)	(51)	(48)	(48)	(48)	(48)	(48)	(48)
Pretax income	72	212	467	621	764	881	987	1,053
Income tax expense	(16)	(25)	(91)	(130)	(160)	(185)	(207)	(221)
Net income	56	187	376	491	604	696	780	832
Net margin (ex-surcharges)	3.1%	8.6%	16.0%	19.8%	22.6%	24.2%	25.3%	25.4%

Source: Company reports, FactSet, team analysis

FINANCIAL MODEL

EBITDA margin expands to ~40% ex-surcharges by FY30E

EBIT and EBITDA

$M	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
EBIT	133	323	522	676	819	935	1,041	1,108
Depreciation and amortization	131	135	139	152	164	176	189	201
EBITDA	264	458	661	827	982	1,111	1,230	1,309
EBITDA margin (ex-surcharges)	14.3%	21.1%	28.2%	33.4%	36.8%	38.6%	39.9%	39.9%

Forecast drivers

Operating statistics	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
SAO growth	-	10.4%	4.9%	8.5%	9.0%	8.5%	8.0%	7.0%
PEP growth	-	-5.2%	-1.4%	-1.0%	-1.0%	-1.0%	-1.0%	-1.0%
Intersegment growth	-	-2.0%	-3.4%	-2.5%	-2.0%	-1.5%	-1.0%	-1.0%
Revenue growth	-	8.2%	4.3%	7.5%	8.0%	7.6%	7.2%	6.4%
Net revenue ex-surcharges, % of revenue	72.5%	78.5%	81.5%	80.0%	80.0%	80.0%	80.0%	80.0%
Surcharges, % of revenue	27.5%	21.5%	18.5%	20.0%	20.0%	20.0%	20.0%	20.0%
COGS, % of revenue	86.8%	78.8%	73.3%	70.0%	67.5%	66.0%	65.0%	65.0%
SG&A, % of revenue ex-surcharges	11.0%	10.6%	10.4%	10.2%	10.0%	10.0%	10.0%	10.0%
Effective tax rate	22.2%	11.9%	19.5%	21.0%	21.0%	21.0%	21.0%	21.0%

Source: Company reports, FactSet, team analysis

FINANCIAL MODEL

Europe drives growth, reaching 28.7% of revenue by FY30E

Revenue by region ($M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
United States	1,556	1,623	1,700	1,825	1,961	2,107	2,248	2,387
Europe	437	504	596	696	819	939	1,068	1,177
Asia Pacific	320	391	344	340	334	338	343	349
Mexico	124	120	122	124	127	126	120	115
Canada	60	70	61	56	53	47	42	41
Other	53	51	54	53	47	40	35	33
Total	2,550	2,760	2,877	3,093	3,341	3,596	3,857	4,102

Growth by region	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
United States	31.9%	4.3%	4.7%	7.4%	7.5%	7.4%	6.7%	6.2%
Europe	72.5%	15.2%	18.3%	16.7%	17.6%	14.7%	13.8%	10.2%
Asia Pacific	36.6%	22.5%	-12.0%	-1.2%	-1.8%	1.2%	1.5%	1.6%
Mexico	38.7%	-3.1%	1.2%	1.8%	2.6%	-0.9%	-5.0%	-3.9%
Canada	44.8%	16.6%	-12.7%	-9.0%	-4.0%	-12.5%	-9.3%	-3.3%
Other	39.6%	-3.4%	4.9%	-2.4%	-11.0%	-15.4%	-12.3%	-5.4%

Europe's share of revenue rises from 20.7% (FY25A) to 28.7% (FY30E); the U.S. stays near 58-59%.

Source: Company reports, FactSet, team analysis

FINANCIAL MODEL

Cash builds to $1.3B by FY28E with debt held flat

Assets ($M)	FY23 A	FY24 A	FY25 A	FY26E	FY27E	FY28E
Cash	45	199	316	487	806	1,293
Accounts receivable	531	563	576	631	677	727
Inventory	640	735	794	813	834	865
Prepaid expenses	66	94	80	85	91	98
Total current assets	1,282	1,591	1,765	2,015	2,409	2,983
PP&E, net	1,384	1,335	1,359	1,472	1,559	1,617
Goodwill	241	227	227	227	227	227
Other non-current	147	138	135	122	111	99
Total assets	3,054	3,292	3,487	3,837	4,306	4,926

Liabilities and equity ($M)	FY23 A	FY24 A	FY25 A	FY26E	FY27E	FY28E
Accounts payable	278	264	267	270	280	297
Accrued liabilities	181	202	216	223	237	255
Current liabilities	459	466	484	493	517	552
Long-term debt	693	694	695	695	695	695
Other LT liabilities	505	502	421	421	421	421
Total liabilities	1,658	1,663	1,600	1,609	1,633	1,668
Common stock	281	285	286	286	286	286
Paid-in capital	328	353	354	354	354	354
Retained earnings	1,228	1,375	1,710	2,161	2,724	3,379
Treasury stock	(298)	(289)	(396)	(505)	(624)	(694)
Other compr. loss	(143)	(94)	(68)	(68)	(68)	(68)
Total equity	1,396	1,629	1,887	2,228	2,673	3,258
Total liab. and equity	3,054	3,292	3,487	3,837	4,306	4,926

Cash builds from $316M (FY25A) to $1,293M (FY28E) while long-term debt stays at $695M; current ratio rises from 3.6x to 5.4x.

Source: Company reports, FactSet, team analysis

FINANCIAL MODEL

Operating cash flow funds capex, buybacks and dividends

$M	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Net income	56	187	376	491	604	696
Depreciation	131	135	139	152	164	176
Other non-cash items	38	117	35	35	35	35
Working capital and other	(211)	(163)	(110)	(93)	(73)	(76)
Operating cash flow	15	275	440	584	729	831
Capital expenditures	(82)	(97)	(154)	(263)	(251)	(234)
Proceeds from disposals	0	1	1	0	0	0
Investing cash flow	(82)	(96)	(153)	(263)	(251)	(234)
Net debt activity	(2)	0	0	0	0	0
Stock options and other (net)	1	17	(25)	0	0	0
Purchase of treasury stock	0	0	(102)	(110)	(118)	(70)
Dividends paid	(39)	(40)	(40)	(40)	(40)	(40)
Financing cash flow	(40)	(23)	(167)	(150)	(159)	(111)
FX effect	(2)	(1)	(4)	0	0	0
Beginning cash	154	45	199	316	487	806
Net cash flow	(108)	156	120	171	320	486
Ending cash	45	199	316	487	806	1,293

Source: Company reports, FactSet, team analysis

FINANCIAL MODEL

Capex peaks in FY26E; working capital stays disciplined

PP&E ($M)	23A	24A	25A	26E	27E	28E	29E	30E
Beg. PP&E, net	-	1,384	1,346	1,361	1,472	1,559	1,617	1,640
Capex	82	97	154	263	251	234	212	226
Capex % rev.	3.2%	3.5%	5.4%	8.5%	7.5%	6.5%	5.5%	5.5%
Depreciation	(131)	(135)	(139)	(152)	(164)	(176)	(189)	(201)
Depreciation % rev.	5.1%	4.9%	4.8%	4.9%	4.9%	4.9%	4.9%	4.9%
End PP&E, net	1,384	1,346	1,361	1,472	1,559	1,617	1,640	1,664

Capex peaks at $263M (8.5% of revenue) in FY26E, then normalizes to 5.5% from FY29E; depreciation runs at ~4.9% of revenue.

Receivable, inventory and payable days stay broadly stable; the cash conversion cycle improves from 166 days (FY26E) to 158 (FY30E).

Working cap. ($M)	23A	24A	25A	26E	27E	28E	29E	30E
Receivables	531	563	576	631	677	727	783	831
Inventory	640	735	794	813	834	865	893	950
Prepaid expenses	66	94	80	85	91	98	105	112
Payables	278	264	267	270	280	297	313	333
Accrued liabilities	181	202	216	223	237	255	273	290
Net operating WC	778	926	966	1,035	1,085	1,138	1,195	1,270
Change in NOWC	-	148	40	70	50	53	57	75
DSO (days)	76	74	73	74	74	74	74	74
DIO (days)	106	123	137	137	135	133	130	130
Prepaid % SG&A	32.5 %	40.9 %	32.9 %	33.5 %	34.0 %	34.0 %	34.0 %	34.0 %
DPO (days)	46	44	46	45	45	46	46	46
Accrued % SG&A	88.8 %	87.9 %	88.9 %	88.5 %	88.5 %	88.5 %	88.5 %	88.5 %
Cash conv. cycle	136	154	164	166	164	161	159	158

Source: Company reports, FactSet, team analysis

Ratio analysis across base, bull and bear cases

Actual				Base			Bull			Bear		
Ratio	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Profit margin	2.2%	6.8%	13.1%	15.9%	18.1%	19.3%	17.8%	19.0%	21.4%	13.8%	13.9%	14.0%
Total asset turnover	0.8x	0.8x	0.8x	0.8x	0.8x	0.7x	0.8x	0.8x	0.7x	0.8x	0.8x	0.8x
Equity multiplier	2.2x	2.0x	1.8x	1.7x	1.6x	1.5x	1.7x	1.6x	1.5x	1.7x	1.7x	1.6x
Return on equity	4.0%	11.5%	19.9%	22.0%	22.6%	21.4%	24.3%	23.5%	23.1%	19.6%	18.6%	17.4%
Gross margin	13.2%	21.2%	26.7%	30.0%	32.5%	34.0%	32.5%	33.5%	36.0%	27.5%	27.5%	27.5%
EBITDA margin	10.4%	16.6%	23.0%	26.7%	29.4%	30.9%	29.1%	30.4%	33.3%	24.2%	24.2%	24.2%
Return on assets	1.8%	5.7%	10.8%	12.8%	14.0%	14.1%	14.3%	14.8%	15.6%	11.2%	11.1%	10.9%
Current ratio	2.8x	3.4x	3.6x	4.1x	4.7x	5.4x	4.1x	4.5x	5.4x	4.1x	4.4x	4.9x
Quick ratio	1.4x	1.8x	2.0x	2.4x	3.0x	3.8x	2.5x	3.0x	3.9x	2.4x	2.7x	3.2x
Total liabilities / assets	0.5x	0.5x	0.5x	0.4x	0.4x	0.3x	0.4x	0.4x	0.3x	0.4x	0.4x	0.4x
Total liabilities / equity	1.2x	1.0x	0.8x	0.7x	0.6x	0.5x	0.7x	0.6x	0.5x	0.7x	0.7x	0.6x
(Liabilities less cash) / EBITDA	6.1x	3.2x	1.9x	1.4x	0.8x	0.3x	1.2x	0.8x	0.2x	1.5x	1.2x	0.8x
Days sales in inventory	106	123	137	137	135	133	135	130	125	138	140	141
Days sales in receivables	76	74	73	74	74	74	72	71	70	74	75	76
Days costs in payables	46	44	46	45	45	46	46	46	46	45	45	44
Capital intensity	1.2x	1.2x	1.2x	1.2x	1.3x	1.4x	1.2x	1.3x	1.4x	1.2x	1.2x	1.3x

Leverage ratios use total liabilities. Bull and bear cases share FY23A-FY25A actuals with the base case.

Source: Company reports, FactSet, team analysis

VALUATION

DCF: $357.10 per share at 9.45% WACC and 18.5x exit

$M	23A	24A	25A	26E	27E	28E	29E	30E
Operating income	133	323	522	676	819	935	1,041	1,108
Unlevered taxes	(27)	(30)	(101)	(142)	(172)	(196)	(219)	(233)
NOPAT	106	293	421	534	647	739	823	875
NOPAT margin	4.2%	10.6%	14.6%	17.3%	19.4%	20.5%	21.3%	21.3%
Plus: non-cash expense	131	135	139	152	164	176	189	201
Less: change in NWC	0	(148)	(40)	(70)	(50)	(53)	(57)	(75)
Less: capex	(82)	(97)	(154)	(263)	(251)	(234)	(212)	(226)
Unlevered FCF	155	183	366	352	510	628	743	776
FCF margin	6.1%	6.6%	12.7%	11.4%	15.3%	17.5%	19.3%	18.9%
Discount period	-	-	-	0.5	1.5	2.5	3.5	4.5
Discount factor	-	-	-	0.96	0.87	0.80	0.73	0.67
PV of FCF	-	-	-	337	445	501	542	517

Valuation at 31 Dec 2025 ($M)	
PV of unlevered FCF	2,342
FY30E EBITDA	1,309
Exit multiple	18.5x
Terminal value	24,209
PV of terminal value	16,126
Enterprise value	18,468
Plus: cash	316
Less: total debt	(696)
Less: minority interest	0
Equity value	18,087
Diluted shares (M)	50.65
Value per share	$357.10

We use an exit multiple rather than perpetual growth: a growth rate high enough to reflect CRS's above-trend profile (above ~4%) would exceed long-term U.S. nominal GDP growth. 18.5x FY30E EBITDA reflects our view that CRS can sustain elevated growth and returns.

Source: Company reports, FactSet, team analysis

VALUATION

WACC of 9.45% from CAPM and after-tax cost of debt

Cost of debt	Amount ($M)	% capital	Term	Coupon	YTM	Price
CRS 5.625% notes	696	4.01%	9 years	5.63%	5.40%	101.57

Peer	Adj. beta (3Y)	Debt ($M)	Equity ($M)	D/E	Weight	Unlevered
ATI Inc. (ATI)	1.45	1,907	15,847	12.03%	37.5%	1.32
Howmet Aerospace (HWM)	1.17	3,352	85,306	3.93%	27.5%	1.13
Materion (MTRN)	1.25	532	2,653	20.04%	15.0%	1.08
Kaiser Aluminum (KALU)	1.61	1,073	1,894	56.68%	10.0%	1.11
Metallus (MTUS)	1.30	16	745	2.11%	10.0%	1.28
Mean / median						1.19 / 1.13
Weighted average						1.21

Re-levered beta: 1.21 × (1 + (1 - 21%) × 4.34% target D/E) = **1.25**

WACC build	Value
Debt / total capital	4.01%
Equity / total capital	95.99%
Pre-tax cost of debt (YTM)	5.40%
Marginal tax rate	21.00%
After-tax cost of debt	4.27%
Equity beta (re-levered)	1.25
Risk-free rate (10Y Treasury)	4.10%
Market risk premium	4.46%
Cost of equity (CAPM)	9.67%
WACC	9.45%

Cost of equity = 4.10% + 1.25 × 4.46% = 9.67%. The equity risk premium is from FactSet consensus; the capital structure is held broadly stable through FY30.

Source: Company reports, FactSet, team analysis

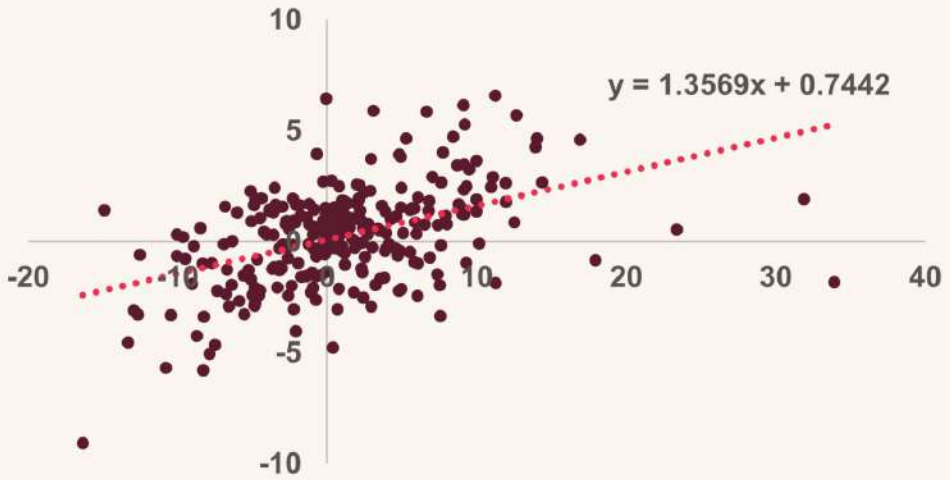
Share price sensitivity to WACC and exit multiple

DCF value per share: WACC vs EV/EBITDA exit multiple

WACC / exit	16.5x	17.5x	18.5x	19.5x	20.5x
8.45%	$335.81	$353.74	$371.68	$389.61	$407.55
8.95%	$329.16	$346.73	$364.29	$381.86	$399.43
9.45%	$322.67	$339.88	$357.10	$374.30	$391.51
9.95%	$316.35	$333.21	$350.06	$366.92	$383.78
10.45%	$310.17	$326.69	$343.21	$359.73	$376.25

Base case $357.10 (9.45% WACC, 18.5x). Across the grid, value ranges from $310.17 to $407.55.

Weekly returns, CRS vs S&P 500 (5 years, %)



y = 1.3569x + 0.7442; alpha 0.74, beta 1.36

Source: FactSet, team analysis

VALUATION

Trading comps imply $390.02, ~6% upside

$M (LTM)	Net debt	Mkt cap	EV	EBITDA	Net income	Weight	EV/EBITDA	P/E
Carpenter Technology (CRS)	380	18,722	19,102	744	435		25.7x	43.1x
ATI Inc. (ATI)	1,535	19,097	20,632	812	404	37.5%	25.4x	47.2x
Howmet Aerospace (HWM)	2,688	93,321	96,009	2,293	1,450	27.5%	41.9x	64.4x
Materion (MTRN)	515	3,387	3,902	211	19	15.0%	18.5x	174.6x
Kaiser Aluminum (KALU)	1,056	2,383	3,439	273	91	10.0%	12.6x	26.1x
Metallus (MTUS)	(177)	966	789	64	(8)	10.0%	12.4x	N/A
Mean							22.2x	78.1x
Weighted average							26.3x	64.2x
Median							18.5x	55.8x
High / low							41.9x / 12.4x	174.6x / 26.1x

Implied valuation	Driver ($M)	Multiple	Implied EV ($M)	Weight
EV/EBITDA	744	26.3x	19,589.76	75%
P/E	435	49.2x	21,769.49	25%
Implied enterprise value			20,135	
Less: net debt			(380)	
Implied market cap			19,754	
Diluted shares (M)			50.65	
Implied share price			$390.02	

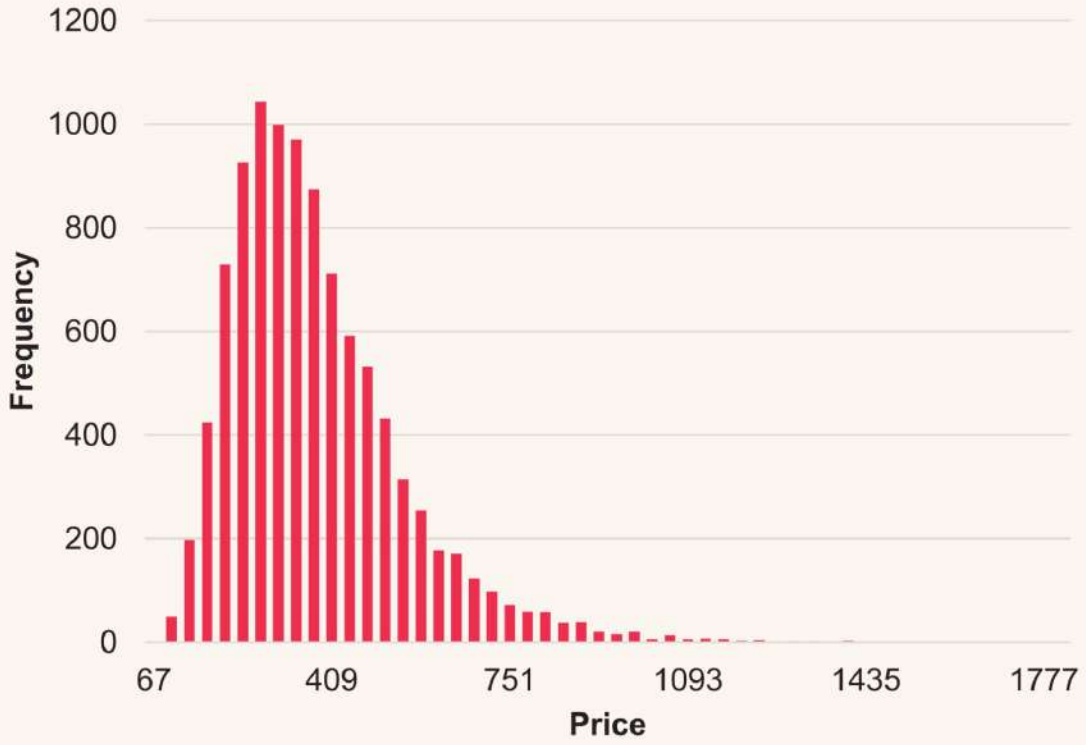
ATI (37.5%) and Howmet (27.5%) anchor the set given high barriers to entry in engine supply and overlap in nickel-titanium superalloys. Materion (15%) captures high-margin medical and specialty exposure; Kaiser and Metallus (10% each) represent the cyclical, capital-intensive alloy base. EV/EBITDA carries 75% weight as it normalizes capital structures; EV/Sales is excluded as it ignores CRS's margins.

Source: Company reports, FactSet, team analysis

VALUATION

Monte Carlo: mean $360.68, median $328.83

Simulated 12-month price (10,000 paths)



Assumption	Value
Horizon (T)	1 year
Step size (Δt)	1/252 (0.004)
Expected return (μ)	(1.80%)
Dividend yield (q)	0.24%
Volatility (σ, 3Y)	43.78%

Result	Price
Minimum	$67.04
10th percentile	$186.54
25th percentile	$244.07
Median	$328.83
Mean	$360.68
75th percentile	$442.19
90th percentile	$573.31
Maximum	$1,776.74

Geometric Brownian motion over one year in 252 daily steps; volatility from CRS's three-year history; drift anchored to the return implied by our target.

Source: Company reports, FactSet, team analysis

Scorecard vs peers: ATI leads, CRS and Howmet tie

Factor	Carpenter (CRS)	Howmet (HWM)	ATI
Environmental	Satisfactory: 90% carbon-neutral power, 0.21 tCO2e intensity; no SBTi-validated absolute target	Satisfactory: 21.7% GHG cut since 2019, assured Scopes 1-3; no absolute science-based target	Excellent: SBTi-validated 40% absolute emissions cut by 2030
Social	Satisfactory: 1.4 TRIR and 8.2-year tenure; laggard on gender diversity (13% female)	Excellent: strong safety and ~29% female workforce	Excellent: leading safety; transparent DEI reporting and targets
Governance	Excellent: 91% independent board, 81% of CEO pay at risk, pay linked to safety	Excellent: independent board, TCFD reporting, audit committee ESG oversight	Excellent: 98% say-on-pay approval; clear pay-for-performance
Overall	Satisfactory	Satisfactory	Excellent

95% vs 10%

material yield: additive manufacturing vs traditional machining

8.2 vs 4.1

years of average tenure: CRS vs industry

Excellent: industry-leading, aligned with frameworks such as SBTi

Satisfactory: meets sector averages but lacks third-party target validation

Laggard: below peers or major disclosure gaps

Source: Company reports, CRS 2025 Sustainability Report, team analysis

APPENDIX

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